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China CCL

Nanya New Material (688519.SS; Not Covered) – Downstream Accepting CCL Hikes; Mgmt Sees Prices Rising Further

CITI'S TAKE

We hosted Nanya management for an investor update call on 22 Jul. Mgmt said the CCL price cycle still has room to run. Standard halogen-free sheet prices are above the 2021 peak, and Nanya raised its illustrative minimum gross-margin threshold for standard-grade orders again in 3Q26. Consumer and auto customers began accepting price increases in the past month, before reaching the point of idling lines due to material shortages. Mgmt's preliminary view is that low-end glass fabric supply may start easing only around end-2027, with no timeline for high-end grades. Nanya announced 1H26 net profit of Rmb420–500mn, up 382–473% YoY.

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Existing capacity fully utilized; growth shifts to price and mix

On volume: Monthly output averaged 3.1–3.2mn sheets in 2025 versus ~2.2mn early that year on ~60% utilization. Lines have run full throughout 2026 at 3.6–3.7mn sheets/month, below the 4.0mn design level due to high-speed changeovers. Sales exceed 4mn sheets/month, including outsourced mid-/low-end volume, while finished-goods inventory is near zero. Further volume growth awaits the N8 addition in 3Q26.

On price: A standard halogen-free sheet sells above Rmb300 versus Rmb160–170 at end-2025 and the 2021 peak of ~Rmb280. The top 20 customers, accounting for ~80% of revenue, generally reprice monthly with a lag; large customers still pay Rmb200-plus, while some orders are priced at delivery. The illustrative minimum gross margin accepted on standard-grade orders rose from ~15% in 1Q26 to 18–20% in 2Q26 and 23–25% in 3Q26. Per mgmt, near-term growth rests on price and mix: tighter order selection and a shift to high-speed products.

AI demand drives high-speed mix; M10 in validation on NVIDIA Rubin platforms

High-speed output rose from ~0.5mn sheets/month in 2Q26 to 0.65–0.7mn in July, around 20% of monthly output. M6-and-above grades represented close to 70% of high-speed revenue. Per mgmt, Huawei's Ascend 950 begins volume ramp in 3Q26, while Alibaba, Tencent, and ByteDance programs sampled in 2025 are ramping this year. M8 ships in small volumes to one domestic customer; M9/M10 remain at sample stage. M10 is being validated for NVIDIA's Rubin switch platform and Rubin Ultra orthogonal backplane, with delivered samples achieving Df of 0.00045.

No overseas M8-or-above orders have landed. Mgmt said qualification with Google is further advanced than with Meta and that current shortages are pushing overseas buyers to diversify suppliers despite Nanya's close Huawei ties.

Input shortages raise costs but redirect orders to Nanya

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Even 7628 fabric trades above Rmb9/m versus a prior peak of Rmb8.7. Mgmt said CCL price increases have outpaced fabric cost inflation and Nanya can still secure material through long-standing domestic supplier ties. Overseas peers short of PPO resin gave up M4/M6 server orders, while Taiwanese peers shifted capacity to M7/M8; per mgmt, some resulting orders moved to Nanya. Several customers have signed supply-assurance agreements, while some carmakers and internet companies proposed equity investments linked to supply commitments.

Conventional prices rise as supply shifts to high-speed products

Per mgmt, non-AI demand in autos, appliances and handsets is flat. Conventional-grade prices are rising because capacity and inputs have shifted to high-speed products, reducing supply while demand remains. Consumer and auto customers began accepting increases in the past month rather than risk material shortages and production stoppages.

New high-speed capacity from 3Q26; low-end fabric may ease around end-2027

N8 in Jiangsu, with 250–300k sheets/month of high-end capacity, starts production in 3Q26. Around 2.0mn sheets/month of additions will start up between 3Q26 and end-2027 and ramp fully by 2Q28, taking capacity from ~4.0mn to 6.0mn sheets/month. The lines are configured mainly for high-speed products but can produce standard grades. Mgmt's preliminary view is that low-end fabric supply may begin easing around end-2027; no timeline was given for high-end fabric.

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